QUARTERLY INVESTOR REPORT

Indigo Apartments | Pittsburgh, PA

Investment	Indigo Apartments
Quarter	1Q 2023
Report Date	April 23, 2026
Sponsor	Whitfield Park Capital
Occupancy	96.6%

Investor Distributions

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Projected levered IRR is 7.8% with an equity multiple of 1.8x over the hold period. Resident turnover has averaged 13.4% annually with renewal retention above 94.2%. Distributions to investors for the quarter were paid at an annualized rate of 5.4% on contributed capital. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Projected levered IRR is 5.1% with an equity multiple of 1.38x over the hold period. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 2.5% annually with renewal retention above 91.2%.

Property Operations

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 37 additional team members. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Collections for the period were 92.3% of billed charges, with bad debt of 7.6% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 48 hours.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 4.7% annually with renewal retention above 91.4%. Service requests are tracked through a work-order system with an average completion time of 26 hours.

Business Plan Progress

Resident turnover has averaged 4.9% annually with renewal retention above 89.7%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 3.3% on contributed capital. Projected levered IRR is 11.2% with an equity multiple of 1.20x over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Property Operations

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Resident turnover has averaged 12.1% annually with renewal retention above 96.8%. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 28 additional team members. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Resident turnover has averaged 6.2% annually with renewal retention above 92.4%. Service requests are tracked through a work-order system with an average completion time of 23 hours. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

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Risk Considerations

Distributions to investors for the quarter were paid at an annualized rate of 6.8% on contributed capital. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Average in-place rent is $1,852 per month against an average unit size of 721 square feet.

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Property Operations

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Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 7.6% annually with renewal retention above 88.7%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 12th business day.

Risk Considerations

Average in-place rent is $1,852 per month against an average unit size of 721 square feet. The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Resident turnover has averaged 13.1% annually with renewal retention above 89.4%. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Resident turnover has averaged 7.9% annually with renewal retention above 94.6%. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 8.0% on contributed capital. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,852 per month against an average unit size of 721 square feet.

Leasing and Marketing

Average in-place rent is $1,852 per month against an average unit size of 721 square feet. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 9 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The manager completes a monthly walk of the property and submits a variance report to the owner by the 11th business day.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 28th business day. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 11 additional team members. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period.

Business Plan Progress

Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Resident turnover has averaged 4.7% annually with renewal retention above 92.0%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Projected levered IRR is 6.6% with an equity multiple of 1.37x over the hold period. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Leasing and Marketing

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Fire alarm panel upgrade	Site	08/13/25	Q2 2025	$13,000	$609	Bidding
HVAC replacement	Interior	10/10/23	Q2 2027	$866,000	$617,707	Bidding
Pool resurfacing	Life Safety	03/01/24	Q4 2027	$385,000	$273,269	Bidding
Door hardware	Interior	05/03/25	Q2 2027	$345,000	$113,779	In progress
LED lighting retrofit	Energy	06/28/26	Q2 2026	$412,000	$197,473	Approved
ADA compliance	Life Safety	01/11/24	Q1 2025	$405,000	$87,176	Bidding
Amenity renovation	Interior	05/23/25	Q1 2027	$686,000	$328,377	Bidding
HVAC replacement	Site	05/22/25	Q3 2025	$349,000	$156,699	In progress
Parking lot resurfacing	Life Safety	04/21/26	Q4 2025	$812,000	$781,393	Approved
Water heater replacement	Building	03/21/25	Q3 2025	$75,000	$26,687	Approved
Exterior paint	Site	12/10/24	Q3 2026	$251,000	$164,791	Approved
Security camera upgrade	Interior	06/23/23	Q1 2025	$247,000	$145,489	Deferred
Sewer line repair	Life Safety	03/10/26	Q4 2027	$376,000	$327,683	In progress
Water heater replacement	Building	02/09/23	Q2 2027	$247,000	$181,752	Bidding
Landscape / irrigation	Interior	07/09/24	Q1 2025	$630,000	$100,386	Deferred
Elevator modernization	Building	08/15/23	Q2 2027	$71,000	$12,766	Bidding
Elevator modernization	Life Safety	02/16/23	Q3 2027	$43,000	$23,001	Deferred
Signage / monument	Site	07/09/23	Q1 2026	$547,000	$473,055	Complete
Sewer line repair	Site	03/15/23	Q1 2026	$191,000	$181,566	Approved
Sewer line repair	Site	01/08/24	Q4 2026	$32,000	$8,970	Approved
Lobby renovation	Site	01/29/23	Q2 2025	$272,000	$133,952	Bidding
HVAC replacement	Life Safety	11/07/23	Q2 2026	$353,000	$216,595	In progress
Amenity renovation	Interior	09/05/26	Q3 2027	$32,000	$27,149	Deferred
Pool resurfacing	Life Safety	10/10/24	Q3 2025	$393,000	$275,170	Complete
Door hardware	Energy	07/20/24	Q2 2026	$746,000	$735,765	Bidding
HVAC replacement	Site	11/07/24	Q1 2025	$218,000	$182,321	Deferred
Sewer line repair	Life Safety	01/21/26	Q2 2027	$86,000	$81,202	Approved
Water heater replacement	Energy	10/09/23	Q4 2027	$750,000	$309,597	In progress
Fence replacement	Life Safety	12/18/26	Q1 2026	$477,000	$188,634	Approved
Exterior paint	Site	09/05/23	Q3 2026	$717,000	$181,516	In progress
Amenity renovation	Building	05/03/24	Q1 2027	$824,000	$285,819	Approved
Storefront glazing	Energy	10/31/23	Q3 2025	$405,000	$47,724	Approved
Water heater replacement	Energy	12/17/26	Q3 2026	$339,000	$204,893	Bidding
Unit interior upgrades	Site	06/29/24	Q3 2025	$212,000	$25,180	Complete
Signage / monument	Building	12/18/24	Q2 2027	$247,000	$129,287	Complete
Fire alarm panel upgrade	Energy	08/03/23	Q2 2025	$390,000	$194,622	Complete
Exterior paint	Building	11/30/23	Q3 2027	$517,000	$278,346	In progress
Pool resurfacing	Life Safety	11/19/25	Q1 2027	$294,000	$10,538	Bidding
ADA compliance	Life Safety	04/30/23	Q4 2025	$445,000	$198,580	In progress
Signage / monument	Building	06/11/26	Q3 2027	$834,000	$550,671	In progress
Fire alarm panel upgrade	Building	08/01/25	Q3 2026	$752,000	$378,591	Complete
Elevator modernization	Energy	10/11/24	Q3 2026	$757,000	$96,403	Complete

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Operating Performance

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The going-in capitalization rate of 8.00% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.7% over the hold period. Operating expenses totaled $52,000 or approximately 38.61 per square foot, with real estate taxes representing the largest line item. Management fees are calculated at 6.1% of collected revenue and are included in operating expenses. Resident turnover has averaged 10.6% annually with renewal retention above 94.4%.

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $372,000 or approximately 45.67 per square foot, with real estate taxes representing the largest line item. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Effective gross income for the trailing period was $127,000, representing a 10.0% increase over the prior year. Management fees are calculated at 6.3% of collected revenue and are included in operating expenses. Net operating income is projected to grow at a compound annual rate of 7.9% over the hold period.

Supply and Demand

Median household income within a 3-mile radius of the property is approximately $227,000 and has grown 5.7% annually. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Indigo Apartments is located in Pittsburgh, PA, a market that has recorded 12.4% population growth over the last five years. Market vacancy for comparable Multifamily product stands at 7.9%, down from 5.2% two years ago.

Investor demand for Multifamily assets in Pittsburgh remains strong with recent trades at capitalization rates between 5.51% and 5.51%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Employment growth is led by healthcare, logistics, education and professional services sectors. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Valuation Discussion

A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Resident turnover has averaged 12.0% annually with renewal retention above 97.0%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,852 per month against an average unit size of 721 square feet.

Resident turnover has averaged 8.5% annually with renewal retention above 92.3%. Management fees are calculated at 7.8% of collected revenue and are included in operating expenses. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Operating expenses totaled $122,000 or approximately 20.59 per square foot, with real estate taxes representing the largest line item.

Market Overview

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Resident turnover has averaged 9.7% annually with renewal retention above 96.3%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Rent growth in the submarket has averaged 6.0% annually over the past 3 years.

Employment growth is led by healthcare, logistics, education and professional services sectors. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Median household income within a 3-mile radius of the property is approximately $264,000 and has grown 6.0% annually. Indigo Apartments is located in Pittsburgh, PA, a market that has recorded 2.5% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Investor demand for Multifamily assets in Pittsburgh remains strong with recent trades at capitalization rates between 5.65% and 5.65%.

Financial Analysis

Management fees are calculated at 4.4% of collected revenue and are included in operating expenses. Debt service coverage ratio was 5.56x on a trailing basis against a covenant minimum of 1.20x. Effective gross income for the trailing period was $305,000, representing a 11.1% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 7.8% over the hold period.

Resident turnover has averaged 11.0% annually with renewal retention above 88.6%. Effective gross income for the trailing period was $303,000, representing a 6.2% increase over the prior year. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period.

Demographics and Employment

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5000 Gross Potential Rent	$255,018	$238,268	$246,282	-$8,736	-3.4%	$965.81
5010 Loss to Lease	$251,817	$255,462	$269,172	$17,356	6.9%	$1,055.58
5020 Vacancy Loss	$85,319	$79,287	$82,173	-$3,147	-3.7%	$322.25
5030 Concessions	$218,247	$214,566	$216,471	-$1,775	-0.8%	$848.91
5040 Bad Debt	$144,465	$151,723	$153,650	$9,185	6.4%	$602.55
5050 Late Fees	$81,897	$83,506	$83,786	$1,889	2.3%	$328.57
5060 Utility Reimbursements	$353,726	$342,665	$355,137	$1,411	0.4%	$1,392.69
5070 Parking Income	$173,677	$175,586	$177,958	$4,281	2.5%	$697.88
5080 Application Fees	$246,097	$255,478	$270,256	$24,158	9.8%	$1,059.83
5090 Pet Rent	$66,038	$64,458	$66,763	$725	1.1%	$261.82
5100 Laundry Income	$161,085	$166,919	$167,526	$6,441	4.0%	$656.97
5110 Cable/Internet Revenue	$343,563	$360,960	$369,183	$25,620	7.5%	$1,447.78
5120 CAM Reimbursements	$257,513	$275,648	$277,263	$19,751	7.7%	$1,087.31
5130 Tax Reimbursements	$57,144	$54,874	$58,291	$1,147	2.0%	$228.59
5140 Insurance Reimbursements	$175,513	$166,980	$175,360	-$153	-0.1%	$687.69
5150 Percentage Rent	$33,997	$32,526	$33,471	-$526	-1.5%	$131.26
5160 Misc. Income	$141,657	$146,456	$156,159	$14,502	10.2%	$612.39
5170 Payroll - Management	$180,492	$168,804	$180,194	-$298	-0.2%	$706.64
5180 Payroll - Leasing	$65,475	$61,965	$62,182	-$3,293	-5.0%	$243.85
5190 Payroll - Maintenance	$297,039	$281,917	$288,523	-$8,516	-2.9%	$1,131.46
5200 Payroll Taxes & Benefits	$267,497	$250,152	$265,671	-$1,826	-0.7%	$1,041.85
5210 Repairs - Plumbing	$343,886	$316,964	$318,807	-$25,078	-7.3%	$1,250.23
5220 Repairs - HVAC	$303,004	$302,438	$317,968	$14,964	4.9%	$1,246.94
5230 Repairs - Electrical	$124,905	$118,118	$121,308	-$3,597	-2.9%	$475.72
5240 Repairs - Appliances	$219,619	$228,051	$229,149	$9,530	4.3%	$898.62
5250 Painting & Decorating	$106,510	$113,172	$115,029	$8,519	8.0%	$451.09
5260 Flooring	$268,783	$259,665	$267,109	-$1,674	-0.6%	$1,047.49
5270 Make-Ready / Turnover	$32,208	$32,705	$34,939	$2,732	8.5%	$137.02
5280 Landscaping Contract	$54,461	$51,639	$52,970	-$1,491	-2.7%	$207.72
5290 Snow Removal	$51,347	$52,207	$52,288	$941	1.8%	$205.05
5300 Janitorial	$279,530	$265,321	$267,654	-$11,875	-4.2%	$1,049.63
5310 Pest Control	$314,585	$300,167	$320,445	$5,860	1.9%	$1,256.65
5320 Trash Removal	$341,594	$332,607	$350,377	$8,783	2.6%	$1,374.03
5330 Elevator Contract	$56,642	$52,158	$52,907	-$3,735	-6.6%	$207.48
5340 Fire & Life Safety	$111,917	$104,115	$106,760	-$5,157	-4.6%	$418.67
5350 Security	$311,722	$301,801	$308,220	-$3,502	-1.1%	$1,208.71
5360 Electricity - Common	$134,684	$134,964	$138,307	$3,623	2.7%	$542.38
5370 Gas - Common	$178,835	$183,205	$192,913	$14,078	7.9%	$756.52
5380 Water & Sewer	$64,824	$68,070	$72,090	$7,266	11.2%	$282.70
5390 Telephone/Internet	$180,058	$187,197	$195,949	$15,890	8.8%	$768.43
5400 Advertising	$303,443	$289,908	$301,013	-$2,430	-0.8%	$1,180.44

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Risk Considerations

Projected levered IRR is 10.0% with an equity multiple of 1.5x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. The business plan contemplates a hold period of 10 years with disposition upon achievement of target returns.

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Management Commentary

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Collections for the period were 94.1% of billed charges, with bad debt of 6.6% of gross potential income. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Collections for the period were 93.9% of billed charges, with bad debt of 5.9% of gross potential income. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 21 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 40th business day.

Business Plan Progress

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Resident turnover has averaged 10.1% annually with renewal retention above 92.8%. Projected levered IRR is 13.6% with an equity multiple of 1.45x over the hold period. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

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Leasing and Marketing

Service requests are tracked through a work-order system with an average completion time of 47 hours. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The manager completes a monthly walk of the property and submits a variance report to the owner by the 19th business day. Average in-place rent is $1,852 per month against an average unit size of 721 square feet.

The manager completes a monthly walk of the property and submits a variance report to the owner by the 13th business day. Collections for the period were 88.2% of billed charges, with bad debt of 7.9% of gross potential income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

Business Plan Progress

The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Distributions to investors for the quarter were paid at an annualized rate of 4.7% on contributed capital. Resident turnover has averaged 12.1% annually with renewal retention above 94.8%.

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Leasing and Marketing

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Fence replacement	Site	03/05/25	Q2 2025	$321,000	$83,613	Deferred
Parking lot resurfacing	Site	12/04/25	Q2 2027	$610,000	$635,828	Approved
Storefront glazing	Life Safety	06/28/23	Q2 2027	$451,000	$259,045	Bidding
Fence replacement	Site	03/25/26	Q3 2027	$696,000	$111,382	Bidding
Signage / monument	Interior	04/07/26	Q4 2025	$634,000	$38,502	Approved
Fence replacement	Life Safety	01/18/24	Q3 2025	$327,000	$342,966	In progress
Pool resurfacing	Building	02/19/25	Q2 2025	$336,000	$93,591	In progress
Landscape / irrigation	Life Safety	05/21/23	Q1 2025	$859,000	$795,481	Bidding
Storefront glazing	Life Safety	07/25/23	Q2 2027	$542,000	$322,622	Deferred
Landscape / irrigation	Site	02/21/25	Q1 2025	$64,000	$50,116	Complete
Storefront glazing	Energy	07/26/25	Q1 2027	$103,000	$34,383	Bidding
Signage / monument	Interior	06/19/25	Q4 2025	$253,000	$187,402	Approved
Storefront glazing	Building	11/12/24	Q2 2027	$54,000	$11,404	Approved
LED lighting retrofit	Site	06/08/25	Q4 2025	$227,000	$1,017	Approved
Sewer line repair	Life Safety	02/13/26	Q3 2027	$95,000	$23,846	In progress
HVAC replacement	Site	08/02/25	Q4 2025	$51,000	$34,634	In progress
ADA compliance	Interior	02/19/25	Q3 2026	$58,000	$40,385	Complete
Parking lot resurfacing	Interior	07/20/24	Q4 2026	$28,000	$8,854	Complete
Parking lot resurfacing	Building	08/13/25	Q1 2026	$365,000	$325,161	Approved
Fire alarm panel upgrade	Interior	09/24/25	Q1 2027	$439,000	$59,998	In progress
Lobby renovation	Interior	02/09/23	Q2 2025	$411,000	$357,274	In progress
Fire alarm panel upgrade	Energy	05/22/25	Q2 2026	$265,000	$60,192	Bidding
Signage / monument	Site	08/25/23	Q2 2027	$215,000	$74,708	Bidding
Fence replacement	Site	06/03/26	Q3 2025	$98,000	$37,970	Complete
HVAC replacement	Building	09/07/26	Q1 2027	$549,000	$394,532	Approved
Elevator modernization	Energy	03/12/23	Q4 2026	$576,000	$298,234	Complete
LED lighting retrofit	Interior	06/11/25	Q3 2027	$864,000	$719,597	Bidding
Lobby renovation	Interior	09/30/23	Q4 2025	$575,000	$138,216	Deferred
Storefront glazing	Interior	10/26/23	Q4 2027	$816,000	$426,606	Deferred
Fire alarm panel upgrade	Interior	12/17/24	Q3 2025	$698,000	$184,342	In progress
Water heater replacement	Life Safety	10/14/26	Q4 2026	$863,000	$437,253	Deferred
Parking lot resurfacing	Life Safety	01/22/25	Q1 2026	$521,000	$474,644	Bidding
Landscape / irrigation	Life Safety	12/07/25	Q1 2026	$181,000	$170,492	Deferred
Exterior paint	Energy	03/17/23	Q1 2027	$156,000	$156,069	Approved
LED lighting retrofit	Interior	11/30/24	Q1 2026	$796,000	$432,054	Deferred
Fire alarm panel upgrade	Site	12/15/23	Q1 2026	$454,000	$136,683	In progress
LED lighting retrofit	Life Safety	11/06/24	Q3 2027	$359,000	$25,391	Bidding
Door hardware	Site	01/13/26	Q3 2026	$339,000	$343,660	Complete
Storefront glazing	Building	08/09/25	Q2 2026	$243,000	$33,083	Complete
Sewer line repair	Building	11/07/24	Q4 2026	$164,000	$151,781	In progress
Parking lot resurfacing	Building	09/23/24	Q2 2026	$652,000	$11,782	In progress
Lobby renovation	Site	03/03/26	Q3 2027	$566,000	$52,557	Approved
Parking lot resurfacing	Site	09/14/24	Q3 2027	$264,000	$35,089	Bidding

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Financial Analysis

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Effective gross income for the trailing period was $239,000, representing a 5.0% increase over the prior year. Average in-place rent is $1,852 per month against an average unit size of 721 square feet.

The going-in capitalization rate of 5.41% reflects the in-place income and the stabilized occupancy assumption. Operating expenses totaled $369,000 or approximately 47.34 per square foot, with real estate taxes representing the largest line item. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period.

Demographics and Employment

The Pittsburgh Multifamily market has experienced absorption of 600 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. Median household income within a 3-mile radius of the property is approximately $370,000 and has grown 6.5% annually. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Investor demand for Multifamily assets in Pittsburgh remains strong with recent trades at capitalization rates between 6.36% and 6.36%. Resident turnover has averaged 8.5% annually with renewal retention above 95.6%. Indigo Apartments is located in Pittsburgh, PA, a market that has recorded 5.8% population growth over the last five years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Income and Expense Review

The going-in capitalization rate of 5.21% reflects the in-place income and the stabilized occupancy assumption. Effective gross income for the trailing period was $20,000, representing a 2.9% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 5.2% over the hold period. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income.

Effective gross income for the trailing period was $269,000, representing a 3.5% increase over the prior year. Resident turnover has averaged 9.0% annually with renewal retention above 96.4%. Net operating income is projected to grow at a compound annual rate of 6.5% over the hold period. Average in-place rent is $1,852 per month against an average unit size of 721 square feet.

Market Overview

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Indigo Apartments is located in Pittsburgh, PA, a market that has recorded 8.3% population growth over the last five years. Investor demand for Multifamily assets in Pittsburgh remains strong with recent trades at capitalization rates between 7.99% and 7.99%. Resident turnover has averaged 13.9% annually with renewal retention above 91.5%. Employment growth is led by healthcare, logistics, education and professional services sectors. Rent growth in the submarket has averaged 4.7% annually over the past 11 years.

Rent growth in the submarket has averaged 4.5% annually over the past 4 years. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Median household income within a 2-mile radius of the property is approximately $385,000 and has grown 3.7% annually. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Financial Analysis

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The going-in capitalization rate of 6.28% reflects the in-place income and the stabilized occupancy assumption. Net operating income is projected to grow at a compound annual rate of 4.3% over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Effective gross income for the trailing period was $258,000, representing a 8.1% increase over the prior year. Net operating income is projected to grow at a compound annual rate of 3.1% over the hold period. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Debt service coverage ratio was 7.54x on a trailing basis against a covenant minimum of 1.20x.

Demographics and Employment

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5410 Resident Events	$288,633	$282,685	$288,372	-$260	-0.1%	$1,130.87
5420 Office Supplies	$253,829	$264,037	$272,025	$18,196	7.2%	$1,066.76
5430 Legal & Professional	$69,834	$71,855	$75,210	$5,376	7.7%	$294.94
5440 Accounting & Audit	$302,553	$326,047	$329,309	$26,756	8.8%	$1,291.41
5450 Licenses & Permits	$169,192	$174,461	$180,372	$11,180	6.6%	$707.34
5460 Management Fee	$189,643	$191,684	$196,398	$6,755	3.6%	$770.19
5470 Property Insurance	$30,369	$30,520	$31,376	$1,007	3.3%	$123.04
5480 Real Estate Taxes	$37,329	$34,888	$35,038	-$2,291	-6.1%	$137.40
5490 Asset Management Fee	$119,154	$126,692	$135,465	$16,311	13.7%	$531.24
5500 Replacement Reserves	$300,262	$316,351	$332,302	$32,040	10.7%	$1,303.15
5510 Roof Repairs	$105,553	$102,113	$103,026	-$2,527	-2.4%	$404.03
5520 Parking Lot Repairs	$330,589	$340,392	$357,538	$26,949	8.2%	$1,402.11
5530 Signage	$44,472	$46,624	$49,212	$4,740	10.7%	$192.99
5540 Tenant Improvements	$40,567	$38,473	$38,532	-$2,035	-5.0%	$151.11
5550 Leasing Commissions	$31,247	$30,122	$32,201	$955	3.1%	$126.28
5000 Gross Potential Rent	$305,819	$329,531	$337,128	$31,308	10.2%	$1,322.07
5010 Loss to Lease	$158,905	$158,374	$164,989	$6,084	3.8%	$647.01
5020 Vacancy Loss	$291,992	$289,193	$298,220	$6,228	2.1%	$1,169.49
5030 Concessions	$95,855	$88,968	$89,987	-$5,868	-6.1%	$352.89
5040 Bad Debt	$313,444	$328,669	$341,522	$28,078	9.0%	$1,339.30
5050 Late Fees	$60,104	$60,630	$64,053	$3,949	6.6%	$251.19
5060 Utility Reimbursements	$65,595	$70,160	$74,069	$8,474	12.9%	$290.47
5070 Parking Income	$238,660	$257,143	$269,269	$30,609	12.8%	$1,055.96
5080 Application Fees	$172,091	$183,396	$189,063	$16,973	9.9%	$741.42
5090 Pet Rent	$356,027	$374,230	$398,697	$42,670	12.0%	$1,563.52
5100 Laundry Income	$147,891	$142,584	$148,192	$301	0.2%	$581.15
5110 Cable/Internet Revenue	$141,198	$142,859	$149,851	$8,653	6.1%	$587.65
5120 CAM Reimbursements	$298,117	$287,682	$298,770	$653	0.2%	$1,171.65
5130 Tax Reimbursements	$122,357	$120,988	$122,660	$303	0.2%	$481.02
5140 Insurance Reimbursements	$150,474	$150,754	$160,624	$10,150	6.7%	$629.90
5150 Percentage Rent	$201,210	$188,763	$194,399	-$6,810	-3.4%	$762.35
5160 Misc. Income	$231,994	$229,950	$238,583	$6,589	2.8%	$935.62
5170 Payroll - Management	$351,807	$355,541	$376,674	$24,867	7.1%	$1,477.15
5180 Payroll - Leasing	$268,969	$278,011	$285,235	$16,265	6.0%	$1,118.57
5190 Payroll - Maintenance	$127,788	$121,641	$123,054	-$4,734	-3.7%	$482.57
5200 Payroll Taxes & Benefits	$113,214	$109,466	$112,268	-$946	-0.8%	$440.27
5210 Repairs - Plumbing	$43,287	$40,514	$42,998	-$289	-0.7%	$168.62
5220 Repairs - HVAC	$241,967	$242,298	$254,932	$12,965	5.4%	$999.73
5230 Repairs - Electrical	$263,337	$244,624	$252,907	-$10,430	-4.0%	$991.79
5240 Repairs - Appliances	$362,440	$344,409	$349,501	-$12,939	-3.6%	$1,370.59
5250 Painting & Decorating	$310,917	$325,686	$342,379	$31,462	10.1%	$1,342.66

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Risk Considerations

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Resident turnover has averaged 14.0% annually with renewal retention above 91.1%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Distributions to investors for the quarter were paid at an annualized rate of 7.4% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Projected levered IRR is 5.9% with an equity multiple of 1.6x over the hold period. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Leasing and Marketing

Collections for the period were 95.0% of billed charges, with bad debt of 7.3% of gross potential income. The manager completes a monthly walk of the property and submits a variance report to the owner by the 43th business day. Resident turnover has averaged 9.9% annually with renewal retention above 92.0%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Marketing efforts include digital listings, signage, broker outreach and a resident referral program.

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 7 additional team members. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Service requests are tracked through a work-order system with an average completion time of 15 hours. Resident turnover has averaged 9.8% annually with renewal retention above 89.4%.

Investment Overview

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Resident turnover has averaged 2.6% annually with renewal retention above 89.6%. Distributions to investors for the quarter were paid at an annualized rate of 4.8% on contributed capital. Projected levered IRR is 3.5% with an equity multiple of 1.38x over the hold period.

The business plan contemplates a hold period of 4 years with disposition upon achievement of target returns. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Resident turnover has averaged 13.4% annually with renewal retention above 89.6%.

Management Commentary

On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 13 additional team members. The manager completes a monthly walk of the property and submits a variance report to the owner by the 32th business day. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Collections for the period were 89.8% of billed charges, with bad debt of 5.4% of gross potential income.

Service requests are tracked through a work-order system with an average completion time of 22 hours. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Collections for the period were 94.6% of billed charges, with bad debt of 4.5% of gross potential income. Resident turnover has averaged 12.3% annually with renewal retention above 90.5%.

Risk Considerations

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 5.9% on contributed capital. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 12.9% with an equity multiple of 1.41x over the hold period.

Property Operations

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Storefront glazing	Energy	12/20/26	Q2 2026	$891,000	$361,885	Complete
HVAC replacement	Site	08/11/25	Q1 2025	$245,000	$188,586	Complete
Amenity renovation	Life Safety	08/19/24	Q2 2026	$752,000	$769,874	Approved
Water heater replacement	Site	05/11/24	Q1 2027	$624,000	$603,873	In progress
ADA compliance	Interior	01/23/23	Q1 2025	$732,000	$416,226	Approved
Security camera upgrade	Energy	05/08/23	Q3 2025	$490,000	$243,775	Complete
HVAC replacement	Site	05/04/24	Q2 2025	$749,000	$129,232	Bidding
Storefront glazing	Energy	09/07/26	Q1 2025	$194,000	$114,063	Deferred
Pool resurfacing	Site	04/06/24	Q1 2025	$848,000	$474,316	Complete
Exterior paint	Building	06/18/24	Q4 2027	$534,000	$117,206	In progress
Pool resurfacing	Energy	05/24/23	Q1 2026	$112,000	$99,033	Complete
Fire alarm panel upgrade	Life Safety	02/10/25	Q3 2026	$33,000	$5,003	Deferred
Roof replacement - Bldg A	Interior	04/15/23	Q4 2025	$96,000	$33,240	Approved
Landscape / irrigation	Life Safety	12/10/25	Q3 2025	$272,000	$150,911	In progress
Roof replacement - Bldg A	Building	08/30/26	Q1 2027	$384,000	$148,660	Approved
Sewer line repair	Building	05/14/25	Q2 2025	$561,000	$204,917	Deferred
ADA compliance	Energy	11/02/26	Q3 2027	$178,000	$25,940	Bidding
Exterior paint	Site	12/03/26	Q1 2025	$227,000	$232,848	Deferred
Unit interior upgrades	Building	10/24/23	Q2 2025	$634,000	$50,295	Bidding
Water heater replacement	Site	03/01/26	Q1 2025	$668,000	$456,103	Complete
Fence replacement	Interior	04/04/26	Q4 2026	$16,000	$8,912	Bidding
Unit interior upgrades	Building	01/25/25	Q4 2025	$565,000	$119,235	Complete
Fence replacement	Site	09/12/25	Q2 2026	$718,000	$582,182	Deferred
Roof replacement - Bldg A	Site	02/24/24	Q4 2025	$273,000	$29,023	Approved
Landscape / irrigation	Life Safety	08/11/24	Q3 2026	$614,000	$417,268	Deferred
Lobby renovation	Interior	11/04/26	Q2 2027	$420,000	$163,886	In progress
Landscape / irrigation	Energy	03/07/24	Q4 2026	$222,000	$196,150	Approved
Parking lot resurfacing	Energy	06/23/25	Q1 2025	$523,000	$178,551	In progress
Landscape / irrigation	Energy	07/09/23	Q3 2025	$335,000	$224,200	Complete
Exterior paint	Energy	11/29/24	Q3 2026	$896,000	$100,822	Deferred
Security camera upgrade	Interior	04/08/25	Q1 2026	$77,000	$54,225	Deferred
Door hardware	Building	04/09/25	Q2 2027	$513,000	$165,255	In progress
Fence replacement	Site	09/09/24	Q1 2026	$781,000	$773,571	Approved
Water heater replacement	Site	04/04/25	Q2 2025	$284,000	$79,906	Complete
Security camera upgrade	Life Safety	02/07/24	Q3 2026	$605,000	$319,094	Complete
Roof replacement - Bldg C	Energy	11/20/26	Q2 2027	$565,000	$132,790	Approved
Signage / monument	Life Safety	03/16/24	Q3 2026	$110,000	$26,339	Deferred
ADA compliance	Interior	01/19/23	Q3 2027	$78,000	$63,521	Deferred
Door hardware	Interior	07/07/25	Q4 2025	$523,000	$168,303	Deferred
Roof replacement - Bldg D	Building	04/08/25	Q4 2026	$848,000	$48,964	In progress

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Valuation Discussion

Net operating income is projected to grow at a compound annual rate of 3.3% over the hold period. Resident turnover has averaged 2.4% annually with renewal retention above 95.5%. Debt service coverage ratio was 7.88x on a trailing basis against a covenant minimum of 1.20x. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Resident turnover has averaged 10.5% annually with renewal retention above 91.6%. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Submarket Analysis

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Market vacancy for comparable Multifamily product stands at 10.0%, down from 5.2% two years ago. Median household income within a 4-mile radius of the property is approximately $307,000 and has grown 4.1% annually. Rent growth in the submarket has averaged 5.0% annually over the past 3 years. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Resident turnover has averaged 5.7% annually with renewal retention above 89.0%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Median household income within a 7-mile radius of the property is approximately $10,000 and has grown 10.3% annually. The Pittsburgh Multifamily market has experienced absorption of 1000 thousand square feet or equivalent units over the trailing twelve months, outpacing new deliveries. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Indigo Apartments is located in Pittsburgh, PA, a market that has recorded 2.7% population growth over the last five years.

Operating Performance

The going-in capitalization rate of 5.08% reflects the in-place income and the stabilized occupancy assumption. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 12.6% annually with renewal retention above 88.2%. Management fees are calculated at 5.5% of collected revenue and are included in operating expenses.

The going-in capitalization rate of 6.30% reflects the in-place income and the stabilized occupancy assumption. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Debt service coverage ratio was 6.28x on a trailing basis against a covenant minimum of 1.20x. Operating expenses totaled $462,000 or approximately 10.18 per square foot, with real estate taxes representing the largest line item. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Resident turnover has averaged 3.8% annually with renewal retention above 92.0%.

Supply and Demand

The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Rent growth in the submarket has averaged 4.2% annually over the past 5 years. Employment growth is led by healthcare, logistics, education and professional services sectors. Median household income within a 1-mile radius of the property is approximately $390,000 and has grown 6.6% annually. Market vacancy for comparable Multifamily product stands at 9.1%, down from 5.1% two years ago. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply.

Market vacancy for comparable Multifamily product stands at 4.2%, down from 4.3% two years ago. Investor demand for Multifamily assets in Pittsburgh remains strong with recent trades at capitalization rates between 5.58% and 5.58%. Resident turnover has averaged 2.3% annually with renewal retention above 92.3%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. New construction starts have decelerated due to higher financing costs and tighter lending standards, which supports the existing supply. Employment growth is led by healthcare, logistics, education and professional services sectors.

Valuation Discussion

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Management fees are calculated at 7.2% of collected revenue and are included in operating expenses. Effective gross income for the trailing period was $36,000, representing a 7.7% increase over the prior year.

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Annual Operating Budget by Account

Account	Prior Yr Actual	Prior Yr Budget	Current Budget	Variance $	Variance %	Per Unit/SF
5240 Repairs - Appliances	$327,489	$353,137	$377,744	$50,255	15.3%	$1,481.35
5250 Painting & Decorating	$62,593	$65,298	$66,798	$4,204	6.7%	$261.95
5260 Flooring	$75,252	$73,671	$74,309	-$943	-1.3%	$291.41
5270 Make-Ready / Turnover	$157,276	$162,585	$173,644	$16,368	10.4%	$680.96
5280 Landscaping Contract	$267,126	$286,999	$301,670	$34,545	12.9%	$1,183.02
5290 Snow Removal	$307,176	$322,648	$344,631	$37,454	12.2%	$1,351.49
5300 Janitorial	$39,534	$39,729	$42,381	$2,847	7.2%	$166.20
5310 Pest Control	$56,118	$57,573	$58,080	$1,961	3.5%	$227.76
5320 Trash Removal	$39,615	$39,797	$40,015	$400	1.0%	$156.92
5330 Elevator Contract	$272,532	$276,040	$278,651	$6,120	2.2%	$1,092.75
5340 Fire & Life Safety	$48,780	$51,411	$53,607	$4,828	9.9%	$210.22
5350 Security	$99,059	$91,554	$97,100	-$1,958	-2.0%	$380.79
5360 Electricity - Common	$261,394	$278,910	$282,129	$20,735	7.9%	$1,106.39
5370 Gas - Common	$346,958	$331,620	$340,497	-$6,460	-1.9%	$1,335.28
5380 Water & Sewer	$154,712	$147,865	$152,584	-$2,127	-1.4%	$598.37
5390 Telephone/Internet	$313,359	$319,764	$334,614	$21,256	6.8%	$1,312.21
5400 Advertising	$304,936	$283,244	$292,090	-$12,846	-4.2%	$1,145.45
5410 Resident Events	$116,134	$113,235	$114,668	-$1,466	-1.3%	$449.68
5420 Office Supplies	$331,111	$321,840	$330,616	-$494	-0.1%	$1,296.54
5430 Legal & Professional	$106,074	$113,922	$120,002	$13,928	13.1%	$470.60
5440 Accounting & Audit	$54,635	$50,762	$52,722	-$1,912	-3.5%	$206.75
5450 Licenses & Permits	$101,274	$105,720	$109,363	$8,089	8.0%	$428.87
5460 Management Fee	$249,509	$255,735	$269,082	$19,573	7.8%	$1,055.22
5470 Property Insurance	$328,929	$326,291	$342,286	$13,357	4.1%	$1,342.30
5480 Real Estate Taxes	$205,000	$191,127	$195,114	-$9,886	-4.8%	$765.15
5490 Asset Management Fee	$96,297	$92,596	$96,625	$328	0.3%	$378.92
5500 Replacement Reserves	$309,474	$319,275	$329,047	$19,574	6.3%	$1,290.38
5510 Roof Repairs	$87,158	$82,251	$87,324	$167	0.2%	$342.45
5520 Parking Lot Repairs	$112,571	$114,932	$119,995	$7,424	6.6%	$470.57
5530 Signage	$36,797	$38,683	$39,987	$3,190	8.7%	$156.81
5540 Tenant Improvements	$54,232	$57,891	$58,666	$4,434	8.2%	$230.06
5550 Leasing Commissions	$362,926	$343,117	$350,066	-$12,860	-3.5%	$1,372.81
5000 Gross Potential Rent	$72,401	$75,112	$78,299	$5,898	8.1%	$307.05
5010 Loss to Lease	$238,301	$246,295	$259,403	$21,102	8.9%	$1,017.27
5020 Vacancy Loss	$66,359	$69,631	$72,663	$6,304	9.5%	$284.95
5030 Concessions	$315,433	$323,805	$333,944	$18,512	5.9%	$1,309.59
5040 Bad Debt	$253,350	$270,272	$278,641	$25,291	10.0%	$1,092.71
5050 Late Fees	$207,348	$221,186	$225,367	$18,019	8.7%	$883.79
5060 Utility Reimbursements	$198,917	$195,330	$195,459	-$3,458	-1.7%	$766.51
5070 Parking Income	$323,436	$305,700	$317,596	-$5,840	-1.8%	$1,245.48

Report generated 04/23/2026. Figures are unaudited and subject to change.

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Risk Considerations

Projected levered IRR is 8.1% with an equity multiple of 1.43x over the hold period. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Distributions to investors for the quarter were paid at an annualized rate of 7.3% on contributed capital. Resident turnover has averaged 7.8% annually with renewal retention above 90.2%.

Resident turnover has averaged 2.3% annually with renewal retention above 94.3%. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Projected levered IRR is 7.9% with an equity multiple of 1.15x over the hold period. Distributions to investors for the quarter were paid at an annualized rate of 7.7% on contributed capital.

Leasing and Marketing

Resident turnover has averaged 6.4% annually with renewal retention above 96.6%. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The manager completes a monthly walk of the property and submits a variance report to the owner by the 23th business day. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Average in-place rent is $1,852 per month against an average unit size of 721 square feet.

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Service requests are tracked through a work-order system with an average completion time of 21 hours. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. On-site staffing consists of a property manager, assistant manager, maintenance supervisor and 41 additional team members.

Risk Considerations

Distributions to investors for the quarter were paid at an annualized rate of 5.3% on contributed capital. Resident turnover has averaged 8.6% annually with renewal retention above 92.0%. Projected levered IRR is 10.3% with an equity multiple of 1.46x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Distributions to investors for the quarter were paid at an annualized rate of 3.4% on contributed capital. Average in-place rent is $1,852 per month against an average unit size of 721 square feet.

Management Commentary

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. The manager completes a monthly walk of the property and submits a variance report to the owner by the 34th business day. Resident turnover has averaged 5.1% annually with renewal retention above 96.2%. Collections for the period were 96.6% of billed charges, with bad debt of 6.2% of gross potential income. Average in-place rent is $1,852 per month against an average unit size of 721 square feet.

Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Resident turnover has averaged 13.8% annually with renewal retention above 93.5%. The manager completes a monthly walk of the property and submits a variance report to the owner by the 30th business day. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Risk Considerations

Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $1,852 per month against an average unit size of 721 square feet. Resident turnover has averaged 11.7% annually with renewal retention above 92.8%. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Projected levered IRR is 5.2% with an equity multiple of 1.27x over the hold period. Resident turnover has averaged 8.8% annually with renewal retention above 91.5%. Distributions to investors for the quarter were paid at an annualized rate of 4.4% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Average in-place rent is $1,852 per month against an average unit size of 721 square feet.

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